

Barclays Kenya lays the foundation for accelerated growth in 2014 as it records a Kes1.1 bn profit for the year ended 31 December 2013

6 February, Nairobi - Barclays Kenya today announced financial results for the full year ended 31 December, 2013. The Bank's profit before tax closed at Kes11.1 billion.

Commenting on the results, Barclays Kenya Managing Director Jeremy Awori said: "Whereas total income rose by 2% to reach Kes27.9 billion, operating costs increased by 9%, loan impairment charges by 747% and a one off exceptional restructuring cost of Kes788 million was incurred leading to a 14% decline in profit before tax against the previous year."

The increase in operating costs is also due to increased investment in technology focussed on improving the core banking platform, mobile and internet banking services, as well as the first-ever online bulk payment system in Kenya.

Barclays Kenya also undertook a branch expansion and refurbishment project, as well as investment in intelligent ATMs with functionalities such as touch screen capability, cash deposit and cheque book ordering in order to deliver an enhanced customer experience.

Key performance highlights for the year

- Total income rose by 2% to reach Kes27.9 billion (2012: Kes27.4 billion)
- Total assets increased by 12% to Kes207 billion (2012: Kes185 billion)
- Loans and advances to customers rose steadily by Kes14 billion to close the year at Kes118 billion, reflecting a 14% growth year on year
- Customer deposits are up 10% to close at Kes151 billion, thus providing a strong funding base for growth
- Capital adequacy ratios remained rock solid with the core capital ratio at 16.6% against a regulatory limit of 10.5%, while total capital ratio stood at 17.3% against a regulatory limit of 14.5%
- Gross non-performing loans declined by 5%
- Final dividend recommendation by the Board of Kes0.50 per share

Income

Net interest income increased by 4% to Kes18.9 billion, up from Kes18.1 billion the previous year. This was on the back of growth in interest earning assets and better margin management, despite the pressure of declining interest rates.

Non-Interest Income dropped by 2% to Kes9 billion compared to 2012, mainly attributable to reduced foreign exchange income following a stable currency market in the year.

Impairment

The sharp rise in the loan impairment charge is attributable to non-recurring impairment recoveries of Kes1 billion, recorded as at the end of 2012. Excluding the one-off recoveries, the impairment charge would be in line with the balance sheet growth.

The Board of Directors of Barclays Bank of Kenya Limited is pleased to announce the audited group results for the period ended 31 December 2013

BARCLAYS BANK OF KENYA LIMITED
FINANCIAL STATEMENTS

II STATEMENT OF COMPREHENSIVE INCOME -GROUP
FOR THE PERIOD ENDING

1 INTEREST INCOME	
1.1 Loans and advances to customers	
1.2 Government securities	
1.3 Deposits and placements with banking institutions	
1.4 Other interest income	
1.5 Total interest income	
2 INTEREST EXPENSES	
2.1 Customer deposits	
2.2 Deposits and placements with banking institutions	
2.3 Other interest expenses	
2.4 Total interest expenses	
3 NET INTEREST INCOME	
4 NON - OPERATING INCOME	
4.1 Fees and commissions income on loans and Advances	
4.2 Other fees and commissions	
4.3 Foreign exchange trading income	
4.4 Dividend income	
4.5 Other income	
4.6 Total Other Operating Income	
5 TOTAL OPERATING INCOME	
6 OPERATING EXPENSES	
6.1 Loan loss provision	
6.2 Staff costs	
6.3 Directors emoluments	
6.4 Rental charge	
6.5 Depreciation on property and equipment	
6.6 Amortisation charges	
6.7 Other operating expenses	
6.8 Total operating expenses	
7 Profit before tax and exceptional items	
8 Exceptional items	
9 Profit after exceptional items	
10 Current tax	
11 Deferred tax	
12 Profit after tax and exceptional items	
13 Other Comprehensive Income	
13.1 Gains/(Losses) from translating the financial statements of foreign operations	
13.2 Fair value changes in available for sale financial assets	
13.3 Revaluation surplus on Property, plant and equipment	
13.4 Share of other comprehensive income of associates	
13.5 Income tax relating to components of other comprehensive income	
13.6 Remeasurements on post employment benefit obligation	
14 Other Comprehensive Income for the year net of tax	
15 Total comprehensive income for the year	

31st December 2013 Shs '000 Audited	31st December 2012 Shs '000 Audited
14,850,421	14,897,931
4,727,962	4,300,929
272,510	220,079
1,445,724	1,622,064
21,296,617	21,041,003
2,037,176	2,240,523
97,441	177,956
303,004	477,356
2,437,621	2,895,835
18,858,996	18,145,168
1,682,295	1,595,978
4,838,761	4,980,476
2,084,157	2,437,256
-	-
457,730	265,509
9,062,943	9,279,219
27,921,939	27,424,387
1,222,900	144,376
8,114,254	7,814,148
15,236	17,469
1,060,641	1,033,254
537,379	626,880
610,747	564,707
4,439,343	4,203,809
16,000,500	14,404,643
11,921,439	13,019,744
788,261	-
11,133,178	13,019,744
(3,496,005)	(4,097,965)
(14,531)	(181,076)
7,622,642	8,740,703
-	-
(278,256)	3,035,051
-	-
-	-
83,477	(910,515)
246,184	416,000
51,405	2,540,536
7,674,047	11,281,239

Earnings per Share (Shs)

1.40

1.61

Dividends per share (Shs)

0.70

1.00

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BARCLAYS BANK OF KENYA LIMITED

FINANCIAL STATEMENTS

	31st December 2013 Shs '000 Audited	31st December 2012 Shs '000 Audited
II STATEMENT OF COMPREHENSIVE INCOME - THE BANK FOR THE PERIOD ENDING 31 DECEMBER 2013		
1 INTEREST INCOME		
1.1 Loans and advances to customers	14,850,421	14,897,931
1.2 Government securities	4,727,962	4,300,929
1.3 Deposits and placements with banking institutions	272,510	220,079
1.4 Other interest income	1,445,724	1,622,064
1.5 Total interest income	21,296,617	21,041,003
2 INTEREST EXPENSES		
2.1 Customer deposits	2,037,176	2,240,523
2.2 Deposits and placements with banking institutions	97,441	177,956
2.3 Other interest expenses	303,004	477,356
2.4 Total interest expenses	2,437,621	2,895,835
3 NET INTEREST INCOME	18,858,996	18,145,168
4 NON - OPERATING INCOME		
4.1 Fees and commissions income on loans and Advances	1,682,295	1,595,978
4.2 Other fees and commissions	4,838,761	4,980,476
4.3 Foreign exchange trading income	2,084,157	2,437,256
4.4 Dividend income	-	-
4.5 Other income	457,730	265,509
4.6 Total Other Operating Income	9,062,943	9,279,219
5 TOTAL OPERATING INCOME	27,921,939	27,424,387
6 OPERATING EXPENSES		
6.1 Loan loss provision	1,222,900	144,376
6.2 Staff costs	8,114,254	7,814,148
6.3 Directors emoluments	15,236	17,469
6.4 Rental charge	1,060,641	1,033,254
6.5 Depreciation on property and equipment	537,379	626,880
6.6 Amortisation charges	610,747	564,707
6.7 Other operating expenses	4,439,343	4,203,809
6.8 Total operating expenses	16,000,500	14,404,643
7 Profit before tax and exceptional items	11,921,439	13,019,744
8 Exceptional items	788,261	-
9 Profit after exceptional items	11,133,178	13,019,744
10 Current tax	(3,496,005)	(4,097,965)
11 Deferred tax	(14,531)	(181,076)
12 Profit after tax and exceptional items	7,622,642	8,740,703
13 Other Comprehensive Income		
13.1 Gains/(Losses) from translating the financial statements of foreign operations	-	-
13.2 Fair value changes in available for sale financial assets	(278,256)	3,035,051
13.3 Revaluation surplus on Property, plant and equipment	-	-
13.4 Share of other comprehensive income of associates	-	-
13.5 Income tax relating to components of other comprehensive income	83,477	(910,515)
13.6 Remeasurements on post employment benefit obligation	246,184	416,000
14 Other Comprehensive Income for the year net of tax	51,405	2,540,536
15 Total comprehensive income for the year	7,674,047	11,281,239
Earnings per Share (Shs)	1.40	1.61
Dividends per share (Shs)	0.70	1.00

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iii **OTHER DISCLOSURES**

1) **Non-performing loans and advances**

a) Gross non-performing loans and advances

b) Less: Interest in suspense

c) Total non performing loans and advances

d) less: loan loss provisions

e) Net non performing loans(c-d)

f) Discounted value of securities

g) **Net NPLs (Excess) / Exposure (e-f)**

2) **Insider loans and advances**

a) Directors ,shareholders and associates

b) Employees

c) Total insider loans and advances

3) **Off Balance sheet items**

a) Letters of credit ,guarantees, acceptances

b) Forwards, swaps and options

c) Other contingent liabilities

Total Contingent liabilities

4) **Capital Strength**

a) Core capital

b) Minimum statutory capital

c) Excess / (Defeciency)

d) Supplementary capital

e) Total capital

f) Total risk weighted assets

g) Core capital / total deposit liabilities

h) Minimum statutory ratio

i) Excess / (Defeciency)

j) Core capital / total risk weighted assets

k) Minimum statutory ratio

l) Excess / (Defeciency)

m) Total capital / total risk weighted assets

n) Minimum statutory ratio

o) Excess / (Defeciency)

5 **Liquidity**

a) Liquidity ratio

b) Minimum statutory ratio

c) Excess / (Defeciency)

31st December 2013 Shs '000 Audited	31st December 2012 Shs '000 Audited
3,579,909	3,771,579
-	-
3,579,909	3,771,579
2,915,239	3,153,551
664,670	618,028
262,283	306,006
402,387	312,022
42,589	114,804
9,153,999	8,861,374
9,196,588	8,976,178
35,798,609	31,539,585
8,876,475	5,096,028
3,226,200	3,930,700
47,901,284	40,566,313
31,798,261	28,329,190
1,000,000	1,000,000
30,798,261	27,329,190
1,373,733	3,839,773
33,171,994	32,168,963
191,652,230	124,840,096
21.0%	20.5%
8.0%	8.0%
13.0%	12.5%
16.6%	22.7%
8.0%	8.0%
8.6%	14.7%
17.3%	25.8%
12.0%	12.0%
5.4%	13.8%
42.0%	46.8%
20.0%	20.0%
22.0%	26.8%

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BARCLAYS BANK OF KENYA LIMITED

FINANCIAL STATEMENTS

1 STATEMENT OF FINANCIAL POSITION AS AT

A A S S E T S

1 Cash (both local and foreign)	6,294,488	6,733,037
2 Balances with Central Bank of Kenya	10,613,198	9,752,786
3 Kenya Government and other securities held for dealing purposes	814,510	-
4 Financial Assets at fair value through profit and loss	1,173,181	788,513
5 Investment Securities:	-	-
a) Held to Maturity:	-	-
a. Kenya Government securities	-	-
b. Other securities	-	-
b) Available for sale:	47,558,631	47,535,593
a. Kenya Government securities	47,558,631	47,535,593
b. Other securities	-	-
6 Deposits and balances due from local banking Institutions	1,250,000	-
7 Deposits and balances due from banking Institutions abroad	136,078	166,441
8 Tax recoverable	1,024,572	-
9 Loans and advances to customers(net)	118,361,911	104,204,295
10 Balances due from banking institutions in the group	9,129,060	4,065,943
11 Investment in associates	-	-
12 Investment in subsidiary companies	275,678	275,678
13 Investment in joint Ventures	-	-
14 Investment properties	-	-
15 Property and equipment	2,785,818	2,669,775
16 Prepaid lease rentals	57,989	58,739
17 Intangible assets	2,858,865	3,452,907
18 Deferred tax asset	-	-
19 Retirement benefit asset	-	-
20 Other assets	4,675,639	5,397,863
21 TOTAL ASSETS	207,009,618	185,101,570

B L I A B I L I T I E S

22 Balances due to Central Bank of Kenya	-	-
23 Customer deposits	151,121,844	137,915,391
24 Deposits and balances due to local banking institutions	4,495,400	1,575,000
25 Deposits and balances due to banking institutions abroad	242,916	149,081
26 Other money market deposits	-	-
27 Borrowed Funds	-	-
28 Balances due to banking institutions in the group	9,032,576	2,257,860
29 Tax payable	-	1,128,015
30 Dividends payable	-	-
31 Deferred tax liability	154,152	223,767
32 Retirement benefit liability	125,463	664,445
33 Other liabilities	9,466,381	11,604,562
34 TOTAL LIABILITIES	174,638,732	155,518,121

C SHAREHOLDER'S FUNDS

35 Paid up / Assigned capital	2,715,768	2,715,768
36 Share premium / (discount)	-	-
37 Revaluation reserve	(400,779)	(206,772)
38 Retained earnings / Accumulated losses	26,366,725	21,811,005
39 Statutory loan loss reserve	973,404	1,461,373
40 Other Reserves	-	-
41 Proposed dividends	2,715,768	3,802,075
42 Capital grants	-	-
43 TOTAL SHAREHOLDERS' FUND	32,370,886	29,583,449
44 TOTAL LIABILITIES AND SHAREHOLDERS' FUND	207,009,618	185,101,570

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FINANCIAL STATEMENTS**

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III OTHER DISCLOSURES		
1) NON-PERFORMING LOANS AND ADVANCES		
a) Gross non-performing loans and advances	3,579,909	3,771,579
b) Less: Interest in suspense	-	-
c) Total non performing loans and advances	3,579,909	3,771,579
d) less: loan loss provisions	2,915,239	3,153,551
e) Net non performing loans(c-d)	664,670	618,028
f) Discounted value of securities	262,283	306,006
g) Net NPLs (Excess) / Exposure (e-f)	402,387	312,022
2) Insider loans and advances		
a) Directors ,shareholders and associates	42,589	114,804
b) Employees	9,153,999	8,861,374
c) Total insider loans and advances	9,196,588	8,976,178
3) Off Balance sheet items		
a) Letters of credit ,guarantees, acceptances	35,798,609	31,539,585
b) Forwards, swaps and options	8,876,475	5,096,028
c) Other contingent liabilities	3,226,200	3,930,700
Total Contingent liabilities	47,901,284	40,566,313
4) Capital Strength		
a) Core capital	31,798,261	28,329,190
b) Minimum statutory capital	1,000,000	1,000,000
c) Excess / (Defecency)	30,798,261	27,329,190
d) Supplementary capital	1,373,733	3,839,773
e) Total capital	33,171,994	32,168,963
f) Total risk weighted assets	191,652,230	124,840,096
g) Core capital / total deposit liabilities	21.0%	20.5%
h) Minimum statutory ratio	10.5%	8.0%
i) Excess / (Defecency)	10.5%	12.5%
j) Core capital / total risk weighted assets	16.6%	22.7%
k) Minimum statutory ratio	10.5%	8.0%
l) Excess / (Defecency)	6.1%	14.7%
m) Total capital / total risk weighted assets	17.3%	25.8%
n) Minimum statutory ratio	14.5%	12.0%
o) Excess / (Defecency)	2.8%	13.8%
5 Liquidity		
a) Liquidity ratio	42.0%	46.8%
b) Minimum statutory ratio	20.0%	20.0%
c) Excess / (Defecency)	22.0%	26.8%

Message from the Directors:

An interim dividend of Shs 0.20 per share was paid on 4th October 2013. Subject to approval of the shareholders, the Directors have resolved to recommend to members at the forthcoming Annual General Meeting a final dividend for the year of Shs 0.50 per share to be paid on or about 23rd May 2014 to shareholders registered at the close of business on Thursday, 6th March 2014.

The above consolidated income statement and consolidated statement of financial position are extracts from the Bank's financial statements approved by the Board of Directors on Thursday, 6th February 2014. The financial statements have been audited by PricewaterhouseCoopers and have received an unqualified opinion. A full set of these financial statements will be available at our registered office at The West End Building, Waiyaki Way and online at www.barclays.co.ke for inspection after approval by members at the Annual General Meeting on 23rd May 2014.

Signed.....
Jeremy Awori
Chief Executive Officer

Signed.....
Francis Okomo-Okello
Chairman

Quality Assets

Barclays Kenya gross non-performing loans declined by 5% while the impairment loss rate stood at 1%, in contrast to industry trends which have seen increases in non-performing loans in line with growth in customer loans. This highlights Barclays Kenya's strong assets quality and its robust credit management policies.

Capital

Effective January 2014, the Central Bank of Kenya's new Prudential Guidelines require inclusion of both operational and market risk in the computation of capital. This had the impact of increasing the bank's total Risk Weighted Assets (RWAs) by 54% to close the year at Kes192 billion.

As a result, the total capital ratio declined from 25.8% in 2012 to 17.3%, while the core capital ratio dropped from 22.7% to 16.6% – but still well above the stipulated minimum requirement of 10.5%.

Conclusion

In closing, Mr Awori remains confident about the three-year growth strategy. Addressing investors at a briefing today, he reiterated that 2013 had been about building a strong foundation, as reflected in the recent investments and operational changes.

Mr Awori said 2014 would be all about delivery, saying the bank would focus on accelerated profit and balance sheet growth. This would be underpinned by new business revenue streams, driving digitisation and a focus on customer service and experience.

Building partnerships with corporates and the Government of Kenya will also remain pertinent in delivering economic development in existing and emerging sectors. This continues to be enabled by the Barclays One Africa strategy that will leverage our world-class global capabilities as further manifested in our recently-launched risk management and fixed income trading arm.

Mr Awori added: "Going forward, we see great opportunities for our business. We shall maintain our holistic approach of focusing on innovative technology-based product, as well as capitalising on our group expertise in specialised industries." He thanked the Board, the management team and employees for their dedication and efforts in 2013 as well as customers for their continued support and the confidence they have in the bank.

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For Further press information, please contact:-

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